PalmSource™ 99

The Consumer Market

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3Com
More connected.

Expectations

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- Don’t do market forecasts
- Don’t predict future growth
- Don’t get people too excited

Agenda

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- Who buys Palm Computing® systems today
- What will make the “true” consumer market happen
- Developer opportunities

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Our Current Installed Base

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- Still dominated by early technology adopters
  - Tend to be male
  - Tend to be higher income
- Very heavy users of other technologies
  - Pagers, cellphones, internet
- Some mild surprises
  - Large majority are *not* in high tech companies or roles
  - Not all in large companies
  - Older on average than you might think (because under-24 usage is low)

Most Use It in Business

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- Individual buyers in businesses (“Mobile professionals”)
  - Mix business and personal usage
  - 1/3 synch both at home and in business
- Fairly even split between personal purchase and other funding
- Very satisfied, very likely to recommend, very likely to buy upgrades and add-ons
  - 2/3 have installed third party software

Like Palm Computing® platform products for:

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- Ease of use (simplicity)
- Form factor (wearability)
- Functionality (in future, leverages mobility)
  - Infrared usage rising
  - Applications added
    - Database
    - Utilities
    - Games
    - Graphics
    - Calculators

    - 2/3 of them paid for it

Reaching Beyond the Tech Elite

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- More female
- Lower income
- More new users
  - Many early buyers were trading up from other organizers
- Less technophilic
  - Read non-technical magazines
  - Work in non-technical industries
- Functionality an increasing purchase driver
  - Beyond the organizer

Agenda

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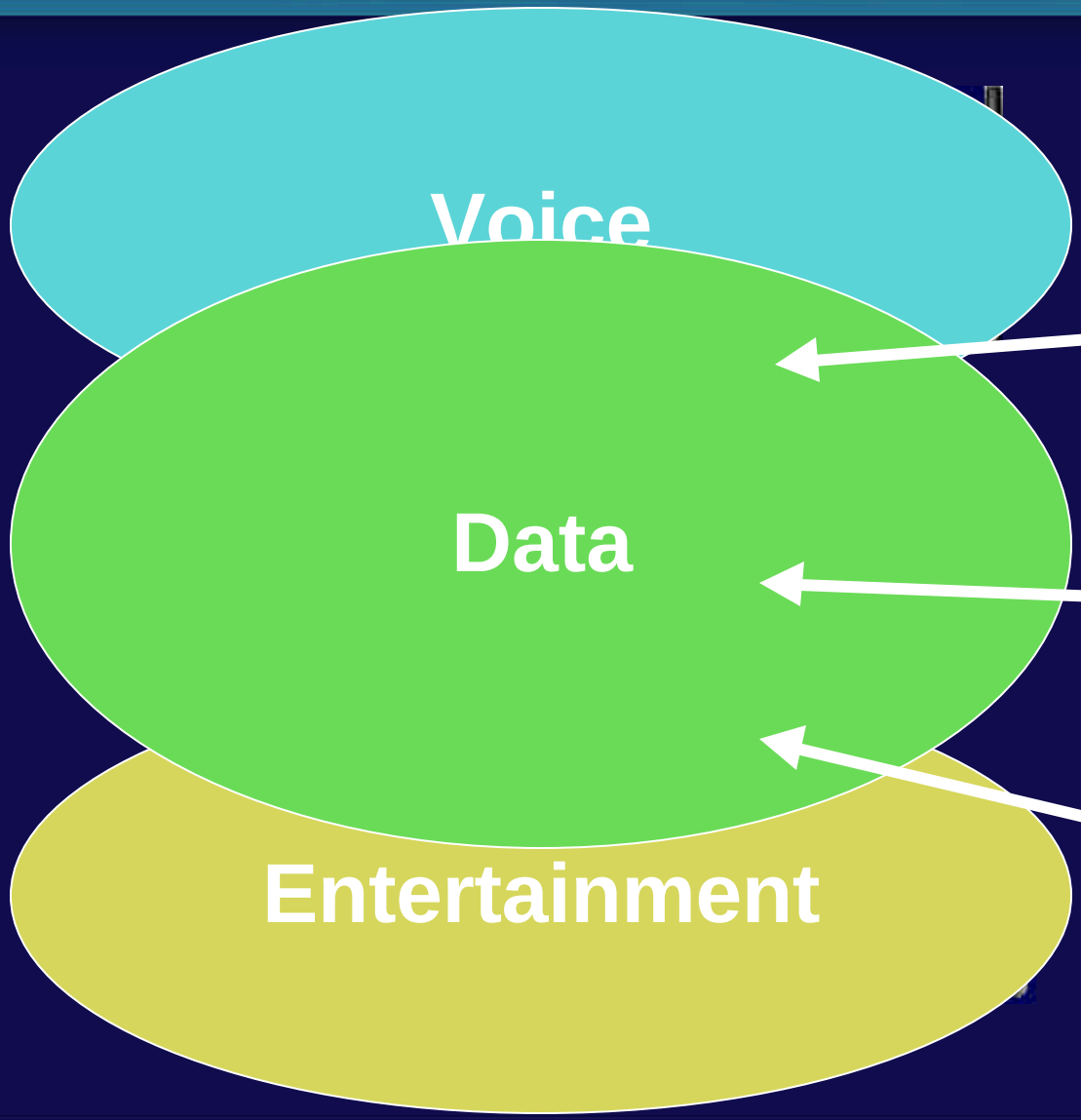
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“When Do We Get Soccer Moms?”

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- We get some of them today
  - Pass-along of replaced systems
  - Alan Kessler sales pitches
- In the US...
  - More than 50% of the population have the income to easily buy a Palm-based system
  - More than 25% have the income *and* a current need
- But...
  - Awareness needs to increase
  - Not everyone wants the same thing
  - Price erosion helps somewhat

Three Types of Customer



- Want info management + wireless
- Want great info management
- Want info management + entertainment

What Will Drive Consumer Usage

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- Cool applications
  - Beyond basic organizer functionality
- Critical mass of attention
  - Users: The best advertising is always word of mouth
  - Partners: Generate buzz
  - Microsoft will help
- Patterns will vary by geography
  - Cellphone penetration

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For Hardware...

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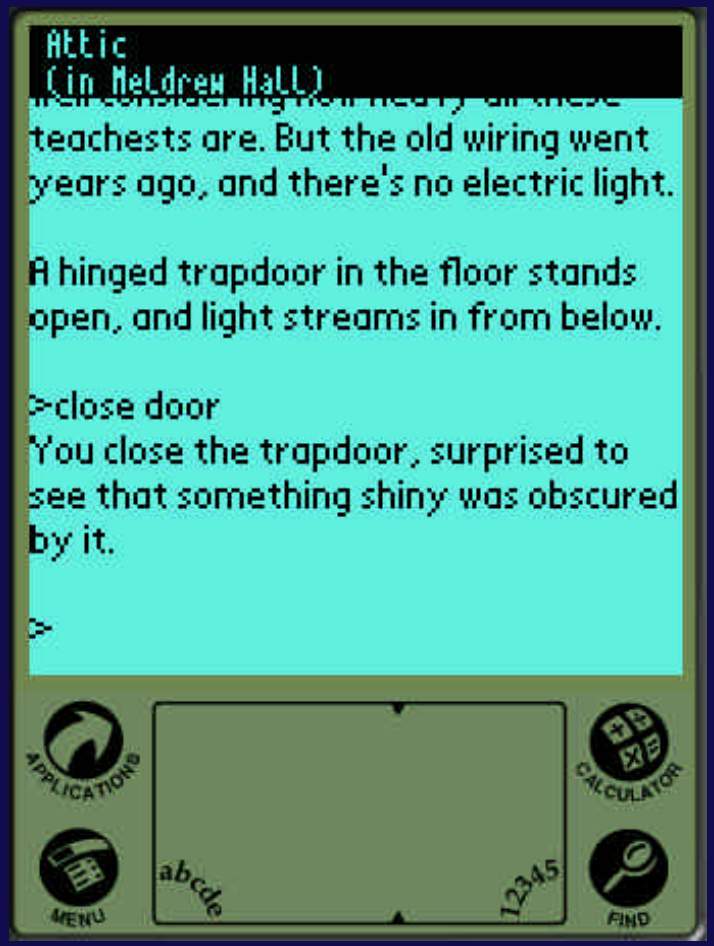
- Merged cell phones and info managers
  - Really tiny screens
    - Magnification?
    - Input technologies?
    - Customer tolerance?
- Two-piece solutions
  - Two four-ounce devices vs. one 6-7 ounce device
  - Mix and match
- Info manager + entertainment?

Ad Hoc Networking

- Bluetooth or other technology
  - Think what you can do once it's ubiquitous
- Not just infrared done right
- Social interaction
  - Dating service in Japan
  - Anonymous messaging?
  - Interest matching at parties?
- Voting, polling, Q&A, level of interest
- Whiteboard class notes
- Shopping information
- Device programming

Interactive Fiction

- http://www.geocities.com/Heartland/9590/interactive.htm



“Classic” Computer Games

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- They worked with slow processors
- They used small screens
- The Mac ones were black and white
- They were very entertaining
- Remember the audience
  - A little older than you’d expect
  - Very technical
  - Starting to get nostalgic

Examples



Short Messaging

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- Paging done right
  - Solves a very serious problem with cellphones
- Driving “smart phone” usage in Japan, Europe
  - Not actually used much for information services today
- Sending graphics, animations, short programs
  - Japan example

Browsing

- WAP + Web clipping + HTML
- People will want the option of using all three
  - The don’t give a darn about protocols
- Promise in proxy services

Info Access Within the Home

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- Connection to a local net gateway
  - Cable TV box or game console or PC
- Use it while you watch TV
  - E-book reading
  - Content browsing
  - Games
  - Tablets?
- Nobody relaxes with a PC

Remember

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- Today it's a business tool
  - But personal usage gets mixed in
  - Customers are becoming more mainstream
- The "true" consumer market is still to come
  - Driven by awareness, functionality
- Opportunities include
  - Local networking
  - Wireless services
  - "Classic" software


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